

ORGMA

Organization and Management

Grade 12, Semester 1 study outline

A summary of section headings and key terms, made by students for revision. It is not the handout and does not replace it.

01. Definition and Functions of Management and the Different Theories of Management

I. Introduction

This module explains the meaning of management and the different functions that a manager and an employee

II. Management Definition

Management is defined as handling people tactfully and consolidating their efforts and activity in the organization.

III. The following are the different managerial functions that a manager exercises

IV. The following are the different Theories of Management

1. Classical Theories of Management

- Classical Theory (1900 - 1920's) is the oldest theory. This theory evolved in response to the shift from handicraft

2. The Neo-Classical Theories of Management

- The Neo-classical theories believe that the best way toward gaining maximum productivity from workers is

3. The Modern Theories of Management

- Dealing with complexity is the core of modern management theory. Focus is on the interaction between

Key terms

Management - defined as handling people tactfully and consolidating their efforts and activity in the organization

02. Functions, Roles, and Skills of a Manager

I. Introduction

A manager does not just sit in one corner and let his employees perform the entire task. He does not just watch

II. LEVELS OF MANAGERS AND THEIR FUNCTION

Functions of managers are viewed depending on what criterion is used. The most often referred criterion is based

1. TOP MANAGEMENT (Executive Managers)

- Managers occupy the highest position in the organization. They are responsible for strategic planning and

2. MIDDLE MANAGEMENT (Department Managers)

- They are managers of departments, division heads and other functional departments. They are responsible in

3. FIRST- LINE MANAGEMENT (Supervisory Managers)

- This includes supervisors of production divisions (that is, foremen and brigadiers) responsible for the

III. ROLES OF MANAGERS

According to Henry Mintzberg (Sheldrake, 1998) there are ten (10) roles that a manager performs and they are

A. INTERPERSONAL ROLES

B. INFORMATIONAL ROLES

C. DECISIONAL ROLES

IV. SKILLS OF MANAGERS

A manager ideally has to be always equipped with the following Skills:

Key terms

Manager - described as a person who fulfills the fundamental managerial functions such as planning, organizing

Functions of managers - viewed depending on what criterion is used. The most often referred criterion is based

03. Environmental Forces that Affect Local and International Business

I. Introduction

When a business activity is performed on an international level, this can be termed as international business. The

II. INTERNAL AND EXTERNAL FACTORS

The different environmental factors that affect the business can be broadly categorized as

A. The Internal Factors are

Value System. It denotes the culture and norms of the business. This is the regulatory framework of a business

B. The External Factors

External Factors include those factors which exist outside the firm and often regarded as uncontrollable.

1. Micro environment includes the following factors

- Suppliers are those people who are responsible for supplying necessary inputs to the organization and ensure

2. Macro environment includes the following factors

- Demographic Factors refer to the study of people, such as their age, sex, marital status, occupation, family size

III. Organizational Environmental Scanning

Environmental scanning helps organizations to gain knowledge of possible influences from outside environments

Key terms

Since demography - uncontrollable because you cannot control the sex, age, marital status in the environment

04. Forms and Economic Roles of Business Organizations

I. Introduction

Business is an entity or enterprise that provides goods and services in exchange for some form of money or

II. There are four major types of businesses

III. Four Basic Forms of Business Ownership, Examples and Its Advantages & Disadvantages

1. Sole Proprietorship - Business is owned and operated by only one person

Examples: sari-sari store, flower shop, vulcanizing shop, car wash, etc.

3. Corporation - A business organization that has a separate personality from its owners

Examples: Smart Communications, Inc, SM Development Corporation, Medical Doctors, Inc. (Makati Medical

Key terms

Business - entity or enterprise that provides goods and services in exchange for some form of money or

Examples of service businesses - schools, repair shops, hair salons, banks, accounting firms and law firms

Examples - grocery stores, convenient stores, distributors and other resellers

05. Phases of Economic Development

I. Introduction

For the past three decades the growth rate in the economy has been the fastest. The real gross domestic product

II. What is Economic development?

It generally refers to the sustained, concerted actions of policymakers and communities that promote the

III. Indicators of Economic Development

Economic development leads to improvements in many sectors of a nation. There are a variety of indicators that

1. Declining Poverty Rates

2. Increasing Literacy Rate

3. Declining Infant Morbidity

4. Increasing Life Expectancy

IV. Five Stages of Economic Development

Walt Whitman Rostow, also known as W.W. Rostow was an economist in the Lyndon B. Johnson administration

06. Nature and Levels of Planning and Its Types

I. Introduction

In life, we are confronted with so many things that we need to plan out in order to accomplish them as desired.

II. Types of Plans according to its Dimension

Planning is a process that involves techniques and tools and comes from different types such as corporate,

III. TIME FRAME

Time Frame or Length of the planning horizon can be long range, medium range or short range planning.

IV. ELEMENTS

There are different planning elements that are involved in the planning process which depends upon the activity

B. Policies limit the behavior or organizational members

towards achieving the goals. They are guidelines of the organization that are useful in decision making.

C. Procedures are narrower in terms of application in the

organization. It only tends to involve departmental activities such as hiring procedures and payment procedures.

V. REPETITIVENESS

Repetitiveness plans can be characterized by the degree

VI. FOCUS

Focus refers to the concentration of a given plan in an organization. It clarifies the function of a particular area

1. Total Organization

2. Divisional or Business

3. Unit, Function, Department

Bas, G.C. (2020). Organization and Management.

Key terms

Planning - process that involves techniques and tools and comes from different types such as corporate

Focus - concentration of a given plan in an organization. It clarifies the function of a particular area

07. Planning Techniques and Tools

I. Introduction

For effective planning in today's dynamic environments, different techniques and tools must be used. Managers

II. Planning Tools and Techniques

Planning requires managers to develop and propose alternative courses of action. Several qualitative and

A. Qualitative Planning Tools & Techniques

B. Quantitative Planning Tools & Techniques

08. Nature of Organizations and Types of Organizational Structure

I. Introduction

An organization needs to be organized to achieve its goal. Functions and authority must be clear and well-defined

II. Types of Organizational Structures

09. Organization Theories for Effective Business Management

I. Introduction

A theory is defined as a statement or proposition that explains the relationships between two or more concepts

II. ORGANIZATION THEORIES

Through the years, management has uncovered several theories applicable to organization. These theories

1. Bureaucracy

- In the late 1800s, Max Weber expressed dissatisfaction with the way companies were managed because they

2. Scientific Management

- Frederick Taylor became a controversial figure in the field of management when he introduced his theory of

3. Systems Theory

- In the 1950s, Karl Ludwig von Bertalanffy and Kenneth Boulding laid the foundations of the systems theory. The

10. Concept and Nature of Staffing

I. Introduction

Staffing is one of the most important functions of management. Though managers do not make staffing decisions

II. STAFFING: Definition & Concept

A. Definition

The term 'Staffing' relates to the recruitment, selection, development, training and compensation of the

B. Concept

The quality of an organization is to a large degree determined by the quality of the people it employs. Success for

III. THE HUMAN RESOURCES DEPARTMENT

The Human Resource Department (HRD) is tasked with implementing human resource management in the

IV. Nature of Staffing

Key terms

Staffing - one of the most important functions of management. Though managers do not make staffing decisions

He - actively associated with recruitment, selection, training and appraisal of his subordinates. These activities are

11. Staffing Process

I. Introduction

As mentioned in the previous lesson, the staffing process is crucial for the achievement of organizational goals.

II. STAFFING PROCESS

STEP 1: HUMAN RESOURCE PLANNING AND JOB ANALYSIS

A. Human Resource Planning

Human resource planning (HRP) is the process of using an organization's goals and strategy to forecast its human

B. Job Analysis

Job analysis is the procedure for determining the duties and skill requirements for a job or position, as well as

3. The following information can be collected through job analysis

A. Recruitment

Recruitment is the process of attracting the appropriate number of qualified individuals to apply for vacant

B. Selection

Selection is the process of gathering information about the applicants with the objective of arriving at a decision

C. Placement

The last part of the hiring process is placement. When a candidate accepts the job offer, the next step is the

D. Training and Development

Both training and development are essential to achieve success in today's organizations. In order to have an edge

B. Performance Appraisal Methods

1. Objective Methods

a. Measures of actual output include volume of sales or number of orders processed.

2. Judgmental Methods

a. Ranking technique is a method where employees are compared to other employees.

Key terms

Forecasting - done to identify the demand for and supply of employees while considering the manpower

Job analysis - procedure for determining the duties and skill requirements for a job or position, as well as

Recruitment - process of attracting the appropriate number of qualified individuals to apply for vacant

Selection - process of gathering information about the applicants with the objective of arriving at a decision

12. Compensation, Employee Benefits, and Reward System

I. Introduction

An organization utilizes various resources e.g., machines, buildings, funds and personnel, in pursuing its objectives.

1. attract people to work for the company
2. motivate them to perform well while working with the company, and
3. induce them to remain with the company over time

The company's reward system is made up not only of the compensation system but also includes such elements as

II. DIRECT MONETARY COMPENSATION

Direct compensation is monetary in nature and given in the form of salaries, wages, commissions, bonuses, and

III. EMPLOYEE BENEFITS

Employee Benefits are divided into two main groups: government mandated and voluntary benefits. Government-

A. Government-mandated benefits

B. Voluntary Benefits

6. Rice subsidy - Regular employees are provided one sack of rice per month
11. Cash bonuses - Companies provide cash bonuses to employees at the end of the year

IV. REWARDS

Companies also provide additional payments and benefits on top of the employees' basic salaries. These form part

A. Individual Contingent Pay

1. Pay for performance scheme - a bonus based on performance
4. Pay for skills - This payment depends on the skills acquired by the employee

Key terms

Direct compensation - monetary in nature and given in the form of salaries, wages, commissions, bonuses, and

Employee Benefits - divided into two main groups: government mandated and voluntary benefits. Government-

Vacation leaves - usually not convertible to cash and should be used up before the end of the calendar year

13. Employee Movement and Relations

I. Introduction

Assessing movement of employees is essential for any organization. The most basic employee movement

II. EMPLOYEE MOVEMENT

Employee movements are inevitable and are often the result of evaluation or structural changes within an

III. EMPLOYEE RELATIONS

Effective employee relations management is an essential component that contributes to the success of a company.

Key terms

Assessing movement of employees - essential for any organization. The most basic employee movement

Employee movements - inevitable and are often the result of evaluation or structural changes within an

Effective employee relations management - essential component that contributes to the success of a company

14. Directing

I. Introduction

An organization is defined by the capacity of its managers to set the direction of the company and

II. MOTIVATION

Motivation is the psychological process of directing behavior. Psychologists consider human behavior as

III. LEADERSHIP

Leadership refers to a process of social influence that enables a person to encourage others and enlist

III. COMMUNICATION IN THE WORKPLACE

Communication applies to all management functions and its general purpose for the organization is to

1. Input - the content of the message

2. **Sender** - the one who encodes or sends the message
3. **Channel** - the means by which the sender relays the message to the receiver
5. **Receiver** - the one who decodes or receives the message
6. **Output** - the content of the message as decoded by the receiver
7. **Response** - the reaction of the receiver to the message
8. **Feedback** - the part of the receiver's response that is transmitted back to the sender

Organization members may encounter various types of barriers that can alter the meaning of

Key terms

Motivation - psychological process of directing behavior. Psychologists consider human behavior as

Leadership - process of social influence that enables a person to encourage others and enlist

15. Controlling

I. Introduction

An organization is a group of persons working together for specified purposes or goals. Top management defines

II. NATURE OF CONTROLLING

Control is the management function that involves monitoring activities to ensure that they're being accomplished

III. THE CONTROL PROCESS

The Control process involves three basic activities:

1. Establishment of Standards

- The establishment of standards is a process by which criteria or benchmarks are set against which actual

2. Analysis of Performance

- The established standards should be used to measure performance if the control system is to influence people to

3. Correction of Deviations

- Analysis of performance should lead to remedial actions when actual performance of managers or their

IV. CONTROL METHODS AND SYSTEMS

In implementing control methods and techniques, the manager must be aware of the timeliness by which they

A. Control Measures based on Timeliness

Management can implement controls before an activity commences, while the activity is going on, or after the

1. Feedforward Control

- Prevents problems because it takes place before the actual activity.

2. Concurrent Control

- As its name implies, takes place while a work activity is in progress.

3. Feedback Control

- The most popular type of control relies on feedback.

1. Administrative Control

- This technique entails establishing procedures and policies that ensure efficiency in the activities of the company.

2. Delegation

- This involves assigning an employee to take responsibility in completing a task. Delegation also incorporates

3. Evaluation

- This type of control involves the collection and analysis of information in order to make decisions. This involves

Key terms

Control - management function that involves monitoring activities to ensure that they're being accomplished

Controlling - also considered an end function because this is performed after all other functions are done. It is

Integral to administrative control - full and timely implementation of management policies and plans

16. Management Control Application

I. Introduction

Control is applied to many functional areas in the business organization, particularly in accounting and marketing.

II. Accounting or Financial Controls

Financial controls are important tools that determine whether the company is on track toward achieving its

A. Balance Sheet

The balance sheet provides a summary of the company's financial position over a period of time. The balance

1. Assets - are things or resources that the company owns

a. Current Assets - include cash on hand, cash in bank, accounts receivable, and etc.

B. Income Statement

The income statement reports profits earned or losses incurred by the company over a given period. The income

III. Marketing Controls

Control is also applicable in the marketing function since setting performance standards is an important part of

Key terms

Control - applied to many functional areas in the business organization, particularly in accounting and marketing

Financial controls - important tools that determine whether the company is on track toward achieving its

17. Functional Areas of Management

I. INTRODUCTION

Management encompasses several activities, functions, and tasks in an organization; in particular, the functions of

II. FUNCTIONAL AREAS OF MANAGEMENT

A. HUMAN RESOURCE MANAGEMENT

2) the recruitment process which involves conducting preliminary screening interviews and tests for job openings,

B. MARKETING MANAGEMENT

Marketing Management is generally concerned with:

C. OPERATIONS MANAGEMENT

Operations management focuses on designing and controlling production and business operations related to

D. FINANCIAL MANAGEMENT

Financial Management is primarily concerned with investment and financing decisions. Investment decision-

3. Credit managers develop credit policies and monitor collection of accounts

E. PROCUREMENT MANAGEMENT

Procurement is the act of purchasing or acquiring goods and services for company use. Companies usually have a

F. OFFICE MANAGEMENT

Office management involves the proper handling and maintenance of the clerical aspects of all the functional

G. INFORMATION AND TECHNOLOGY MANAGEMENT

Information technology refers to the application of computer and telecommunications technology to store,

Key terms

Financial Management - primarily concerned with investment and financing decisions. Investment decision-

Procurement - act of purchasing or acquiring goods and services for company use. Companies usually have a

Information technology - application of computer and telecommunications technology to store

Information systems - organized systems or networks that collect, store, and disseminate information required

18. The Steps and Importance of Starting a Family Business

I. Introduction

Starting a family business allows you to spend your working days with the people you care about the most. It gives

II. What Is a Family Business?

Usually, a family business is a company run with a partner, sibling, or other close relatives, but it could even be

A. Advantages of Family Businesses

There are plenty of advantages of family businesses - these are the reasons why such ventures are so appealing.

1. You already know your workers

2. Comfortable atmosphere

3. An advantage over other businesses

4. Greater flexibility

5. Customers prefer family businesses

B. Disadvantages of Family Businesses

Of course, there are also many disadvantages of family businesses. It's crucial that you assess these disadvantages

1. Family relationships will change

2. Kids should still work elsewhere

3. Promotions Need to be Based on Merit

4. Creativity is sometimes stifled

C. Common Types of Family Businesses

Unsure what kind of family business to start? There are a few most common types of family businesses that are

Key terms

Starting a business - always risky. There's a chance that your venture will fail and you'll lose your investment